

Supply Agreement

Between Bossard (Malaysia) Sdn Bhd ("Buyer") and Precision Metal Components Sdn Bhd ("Supplier")

1. Payment Terms

Buyer shall pay all undisputed invoices within 45 days of the invoice date, net of a 2% early-payment discount if paid within 10 days. All payments shall be made in Malaysian Ringgit (MYR) unless otherwise agreed in writing.

2. Late Delivery Penalty

If Supplier fails to deliver goods within 5 business days of the agreed delivery date, Supplier shall pay a penalty of 1.5% of the affected order value per week of delay, capped at 10% of the total order value. Delays exceeding 6 weeks entitle Buyer to cancel the affected order without penalty.

3. Termination

Either party may terminate this Agreement with 90 days' written notice. Buyer may terminate immediately, without notice, in the event of three or more late-delivery penalty events within any rolling 6-month period, or upon Supplier's insolvency.

4. Currency / FX Adjustment

Unit prices are fixed in MYR for the first 12 months. Thereafter, if the USD/MYR exchange rate moves by more than 8% from the rate on the Effective Date, either party may request a price renegotiation for raw-material-linked SKUs, to take effect no earlier than 30 days after request.

5. Confidentiality

Both parties agree to keep pricing, forecasts, and technical drawings exchanged under this Agreement confidential for a period of 3 years following termination.

Effective Date: 1 January 2026 Term: 24 months